

Business Context

There is a huge demand for used cars in the Indian Market today. As sales of new cars have slowed down in the recent past, the pre-owned car market has continued to grow over the past years and is larger than the new car market now. Cars4U is a budding tech start-up that aims to find footholes in this market.

Objective

You, as a senior data scientist at Cars4U, you have to come up with a pricing model that can effectively predict the price of used cars and can help the business in devising profitable strategies using differential pricing. For example, if the business knows the market price, it will never sell anything below it.

Data Dictionary

1. S.No.: Serial number
2. Name: Name of the car which includes brand name and model name
3. Location: Location in which the car is being sold or is available for purchase ([cities](#)



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4. Year: Manufacturing year of the car
5. Kilometers_driven: The total [kilometers](#)



(a unit used to measure length or distance) driven in the car by the previous owner(s)

6. Fuel_Type: The type of fuel used by the car (Petrol, Diesel, Electric, CNG, LPG)
7. Transmission: The type of transmission used by the car (Automatic/Manual)
8. Owner: Type of ownership
9. Mileage: The standard mileage offered by the car company in kmpl or km/kg
10. Engine: The displacement volume of the engine in CC
11. Power: The maximum power of the engine in [bhp](#)



12. Seats: The number of seats in the car
13. New_Price: The price of a new car of the same model in INR Lakhs (1 Lakh INR = 100,000 INR)
14. Price: The price of the used car in INR Lakhs